



dino
najbliżej Ciebie

Full Year 2018 Financial results

14th March 2019

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Our achievements in 2018



+202 stores
(+147 in 2017)



+27.3% net sales area y-o-y
(+23.8% at end of 2017 y-o-y)



+30.8% sales y-o-y
(+34.4% in 2017 y-o-y)



+11.6% LFL y-o-y
(+16.2 in 2017 y-o-y)



+34.8% EBITDA¹ y-o-y
(+39.2% in 2017 y-o-y)



+0.3pp EBITDA¹ margin y-o-y
(+0.3pp in 2017 y-o-y)

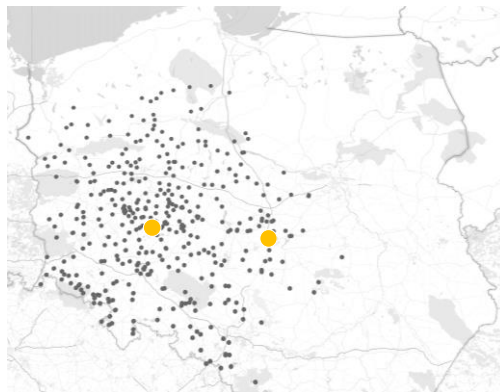
(1) Adjusted for the IPO-related one-off expenses incurred in 2017 (PLN 12.3m)

Proven roll-out capabilities based on store ownership

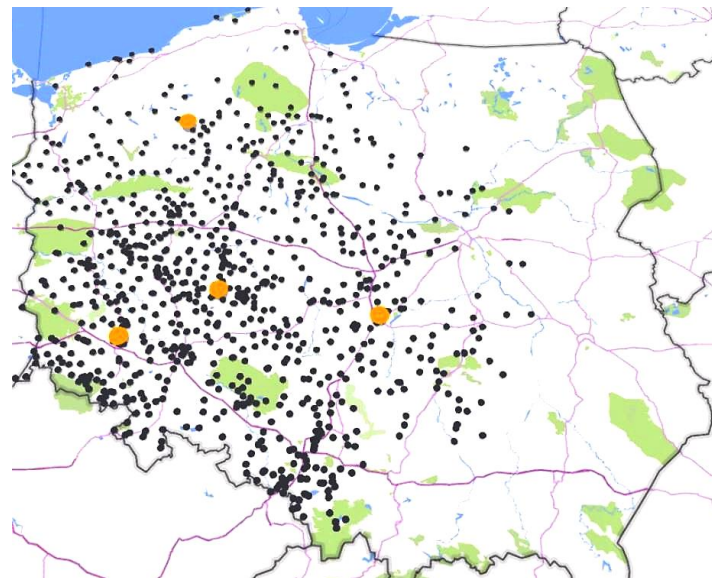
2011: 154 stores, 1 distribution center



2014: 410 stores, 2 distribution centers



2018: 977 stores, 4 distribution centers



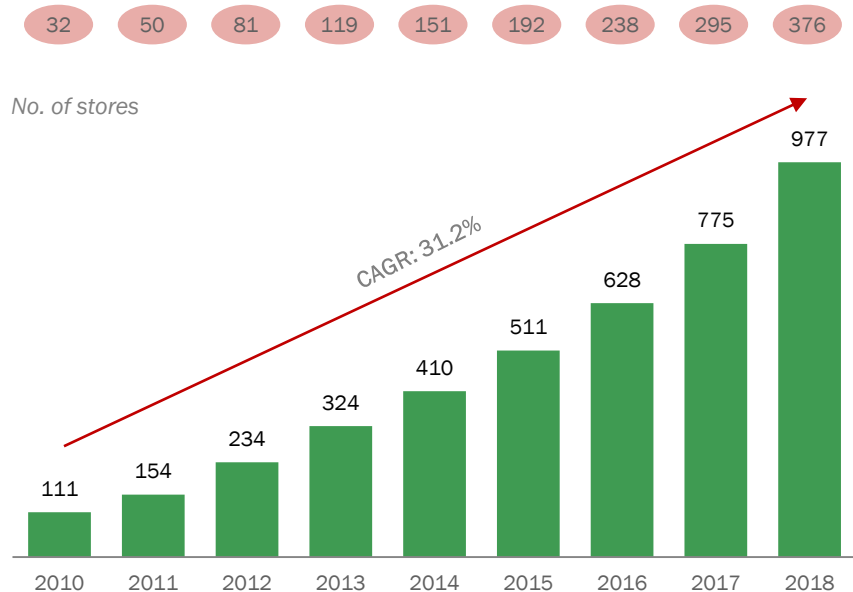
● Distribution centers ● Opened stores

Still **plenty of room** to **increase density** in existing areas as well as **expand** to new regions

Network expansion – higher number of stores and geographic composition

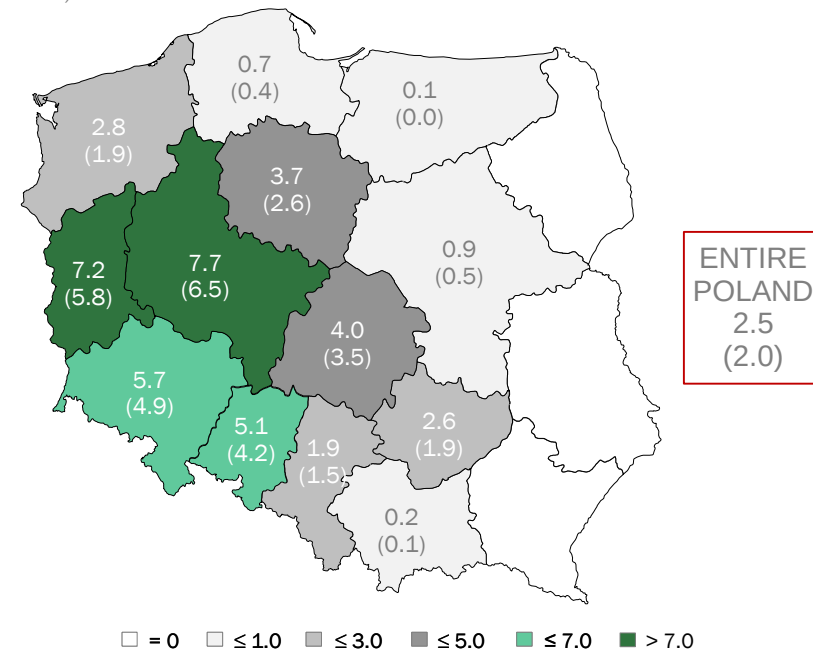
Network expansion

Net sales area ('000 m²)



Regional coverage

Stores per 100k inhabitants as of December 31, 2018 (in brackets as of December 31, 2017)



Significant growth of LFL sales

Annual
Inflation
(deflation) %

2.6

4.3

3.7

0.9

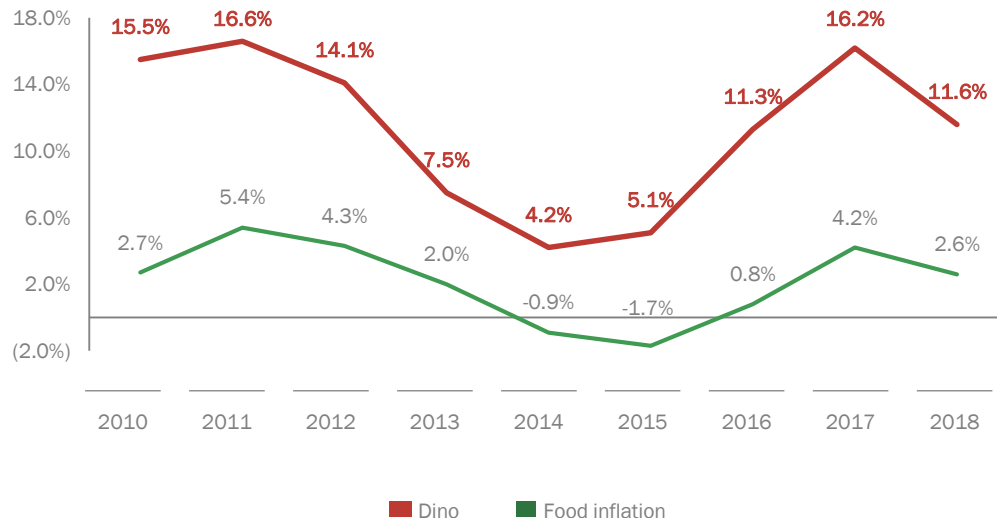
0.0

(0.9)

(0.6)

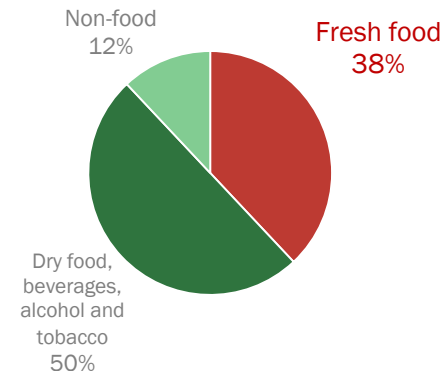
2.0

1.6



Sales mix

Product split by revenue in 2018



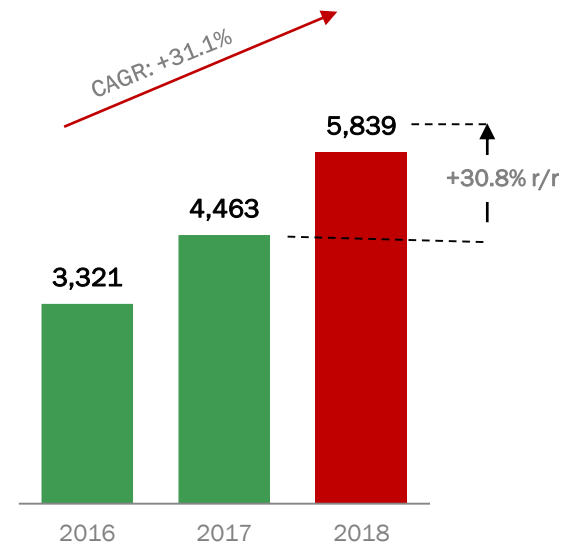
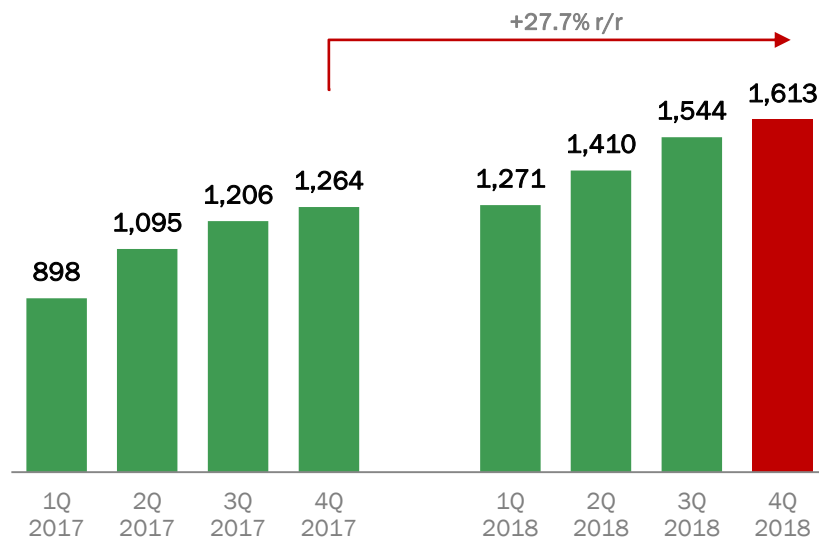
5,000 SKUs at a typical
Dino store

98% of the offering is
branded

Fresh product offering
driving daily visits

High revenue growth¹

Revenues (PLNm)



Source: Company financial statements

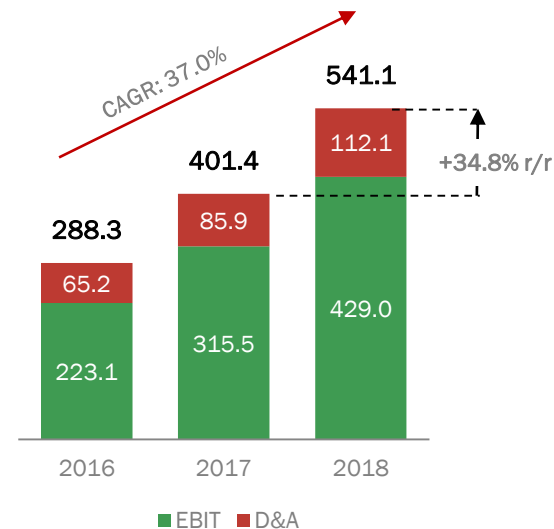
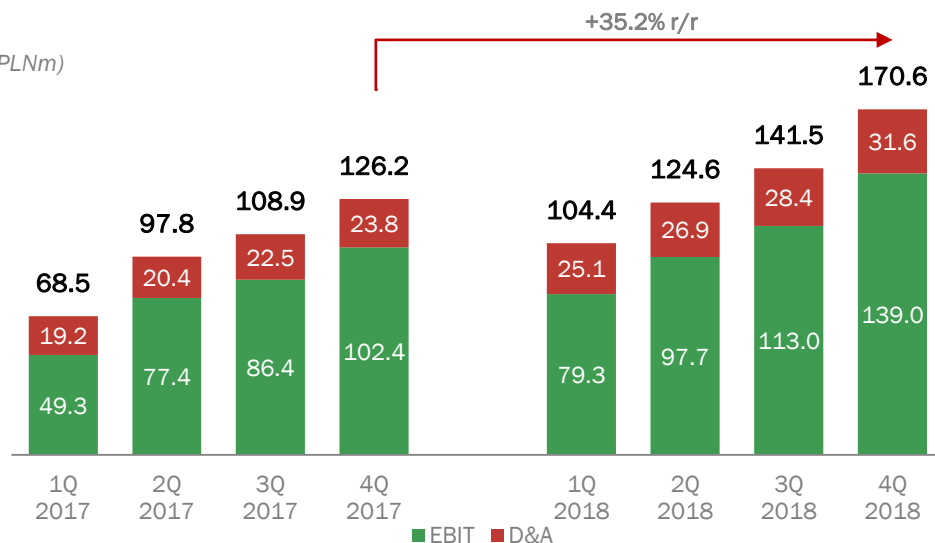
(1) In 2018, the Company changed the method of recognizing transactions involving prepaid cards, journals and newspapers in its ledgers, as a result of which it does not disclose separately revenues on their sales and the cost of their purchase but only recognizes in its sales revenues the gain generated on sales of these goods. Data for 2016 and 2017 are restated

Consistent growth in results and the EBITDA margin¹

EBITDA margin



(EBITDA PLNm)

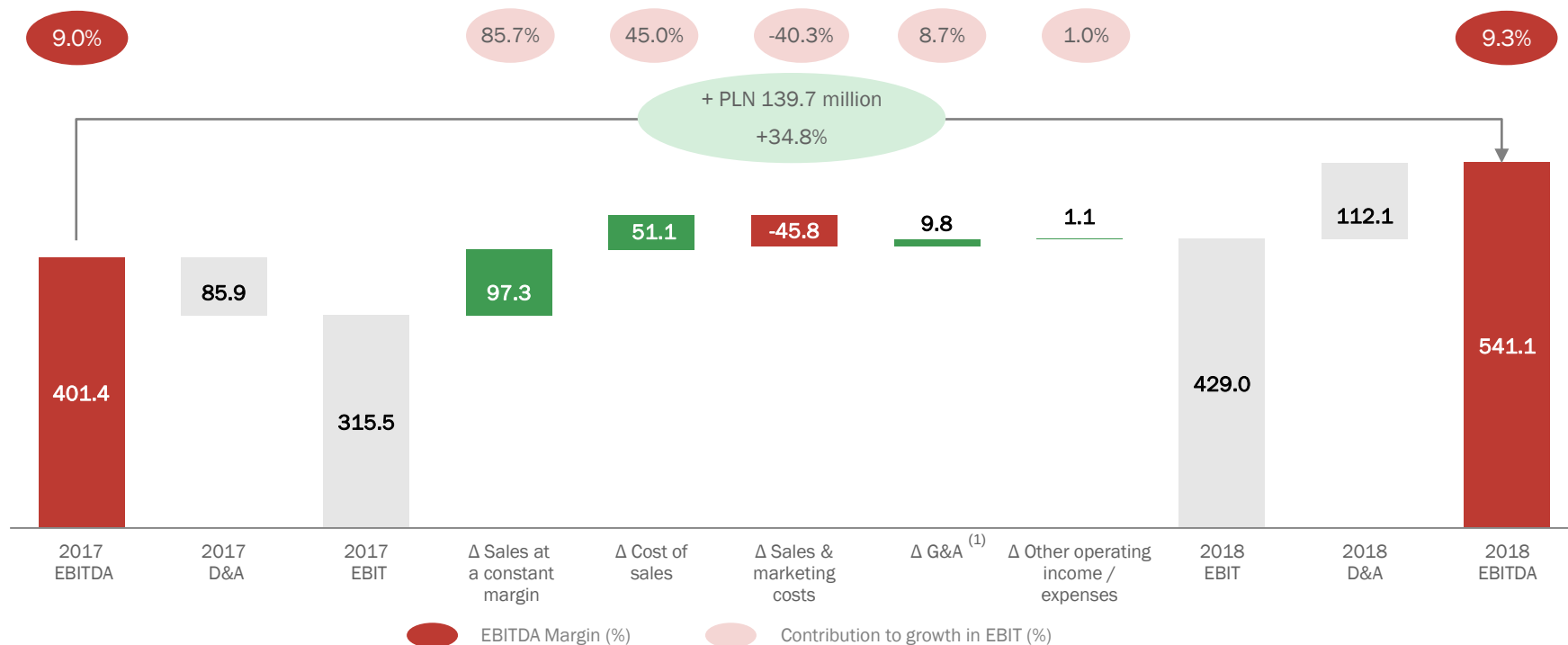


Source: Company financial statements

(1) Adjusted for the IPO-related one-off expenses of: PLN 7.5m in 2016, PLN 3.0m in 1Q '17 and PLN 9.3m in 2Q '17

2018 EBITDA bridge

(PLNm)



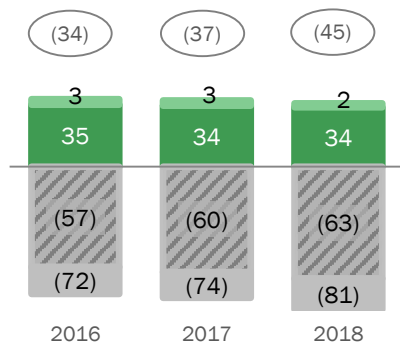
(1) Adjusted for the IPO-related one-off expenses incurred in 2017 (PLN 12.3m)

Effective working capital management and strong operating cash flow

NWC split ⁽¹⁾

(days)

Total NWC:



■ Days sales outstanding ⁽²⁾

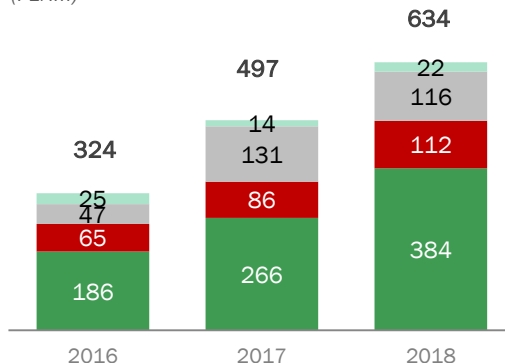
■ Days inventories held ⁽³⁾

■ Days payables outstanding ⁽⁴⁾, of which:

■ Days trade payables outstanding ⁽⁵⁾

OCF Structures

(PLNm)

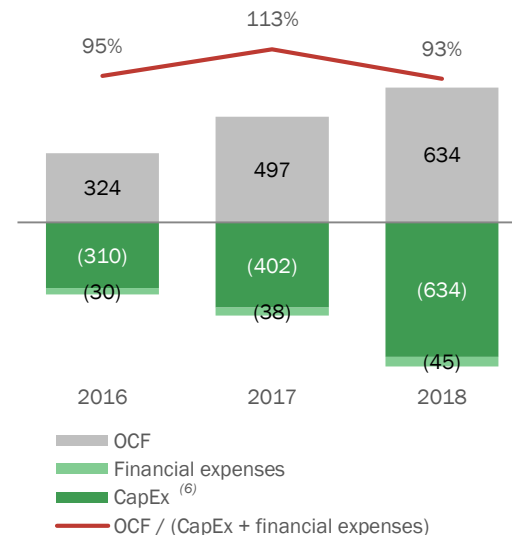


■ Profit before tax ■ D&A

■ Change in WC ■ Other ⁽⁷⁾

OCF covering significant share of CapEx⁽⁶⁾ needs

(PLNm, %)



■ OCF

■ Financial expenses

■ CapEx ⁽⁶⁾

— OCF / (CapEx + financial expenses)

Source: Company consolidated financial statements

(1) Working capital calculated as a sum of days inventories held, days sales outstanding and days payables outstanding

(2) Days sales outstanding defined as a value of receivables (average at the beginning and end of the year) divided by sales and multiplied by 365

(3) Days inventories held defined as a value of inventories (average at the beginning and end of the year) divided by COGS and multiplied by 365

(4) Days payables outstanding defined as a value of trade and other payables (average at the beginning and end of the year) divided by COGS and multiplied by 365

(5) Days trade payables outstanding defined as a value of trade payables (average at the beginning and end of the year) divided by COGS and multiplied by 365

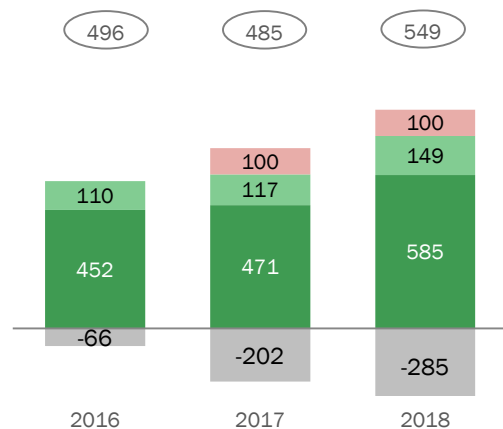
(6) Net interest expense, tax expense, change in accruals and provisions, investment activity gains and other adjustments

(7) CapEx is presented as net cash from investing activities

Strong balance sheet

Net debt structure

(PLN)



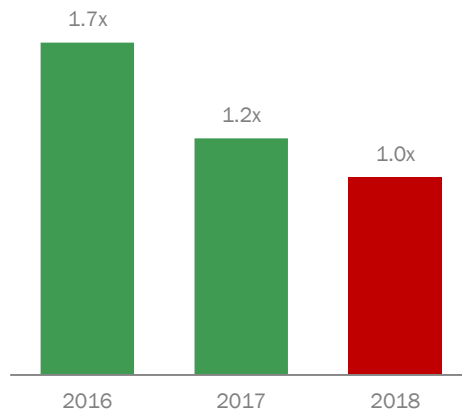
■ Cash and cash equivalents

■ Bonds

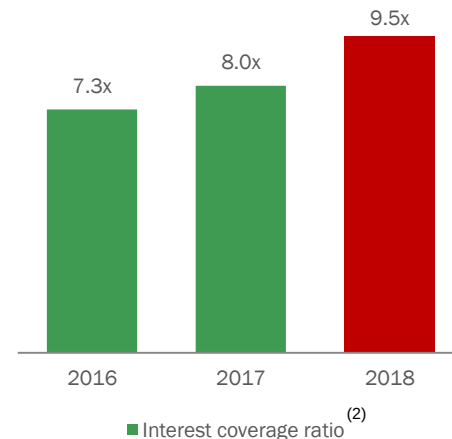
■ Current portion on interest-bearing loans and finance leases

■ Interest-bearing loans and finance leases

Net debt/EBITDA⁽¹⁾



Improving debt service

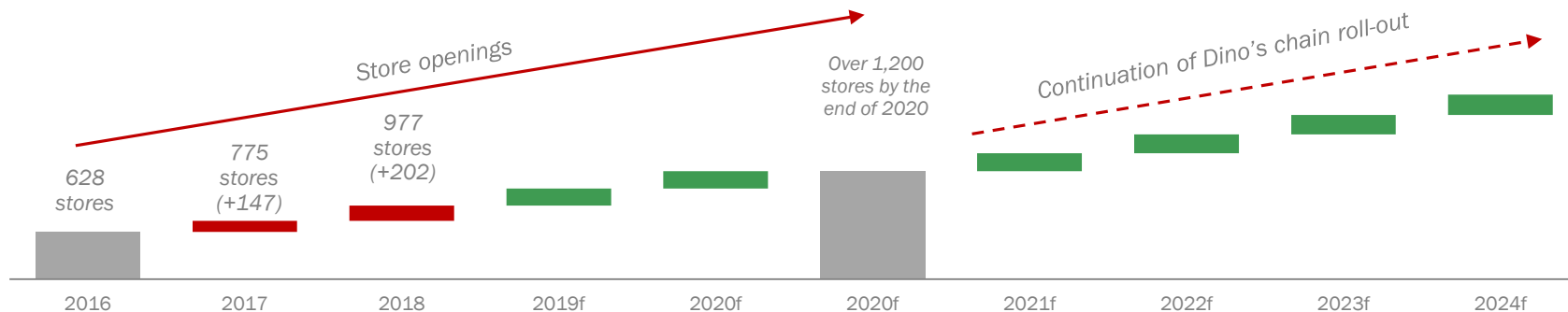


(1) EBITDA adjusted for the IPO-related one-off expenses incurred in 2016 - 2017

(2) Interest coverage ratio defined as EBIT divided by financial expenses

Strategy update

1 Organic store roll-out



2 LFL growth

11.6%
LFL growth in 2018
(vs 2.6% food inflation)

3 Improving profitability

+ 0.3 pp
EBITDA margin improvement
in 2018 y-o-y

Source: Company information

Q&A



Company financial statements (1/5)¹

Profit and loss statement ²													
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018
Sales	2,108.0	2,589.6	3,320.6	4,462.8	5,838.5	897.8	1,095.1	1,206.4	1,263.5	1,271.3	1,409.8	1,543.9	1,613.5
Cost of sales	(1,644.1)	(2,004.7)	(2,550.1)	(3,422.2)	(4,426.1)	(689.2)	(845.4)	(923.7)	(963.8)	(973.8)	(1,076.5)	(1,167.2)	(1,208.5)
Gross profit	463.9	584.9	770.5	1,040.6	1,412.5	208.6	249.7	282.6	299.7	297.5	333.3	376.7	405.0
Other operating income	1.5	3.1	2.6	3.7	5.4	0.5	0.7	0.6	1.8	1.4	1.7	0.3	2.0
Selling and marketing costs	(324.6)	(391.6)	(505.9)	(678.7)	(933.7)	(149.7)	(160.7)	(183.1)	(185.1)	(206.3)	(222.8)	(248.4)	(256.1)
Administrative expenses and general overheads	(31.3)	(35.4)	(49.4)	(60.0)	(52.6)	(12.9)	(21.4)	(13.3)	(12.4)	(12.9)	(14.0)	(14.6)	(11.1)
Other operating expenses	(3.7)	(1.0)	(2.3)	(2.4)	(2.5)	(0.1)	(0.3)	(0.3)	(1.6)	(0.4)	(0.5)	(0.9)	(0.7)
Operating profit	105.8	160.1	215.6	303.2	429.0	46.3	68.1	86.4	102.4	79.3	97.7	113.0	139.0
Financial income	0.17	0.10	0.47	0.66	0.35	0.10	0.04	0.00	0.51	0.16	(0.02)	0.15	0.05
Financial expenses	(26.7)	(24.9)	(29.6)	(37.9)	(45.4)	(8.4)	(9.4)	(9.4)	(10.6)	(10.1)	(10.5)	(11.6)	(13.1)
Profit before tax	79.3	135.2	186.5	266.0	384.0	38.0	58.7	77.0	92.3	69.3	87.2	101.5	126.0
Income tax	(13.2)	(13.1)	(35.2)	(52.4)	(76.4)	(7.6)	(12.0)	(13.5)	(19.4)	(13.3)	(16.7)	(19.3)	(27.2)
Net profit from continuing operations	66.1	122.2	151.2	213.6	307.6	30.5	46.7	63.5	72.9	55.9	70.5	82.3	98.8

Source: Company financial statements

(1) Quarterly data unaudited, sales and cost of sales for 2016-2017 are restated

(2) Not adjusted for one-offs related to the IPO: PLN7,5m in 2016; PLN3,0m in 1Q '17 and PLN9,3m in 2Q '17

Company financial statements (2/5)¹

Balance sheet													
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018
Assets													
Property, plant and equipment	798.9	1,024.2	1,337.2	1,697.6	2,347.0	1,386.4	1,497.0	1,593.2	1,697.6	1,787.7	1,931.4	2,090.4	2,347.0
Intangible assets	90.7	92.3	93.1	92.8	95.0	92.5	92.2	91.7	92.8	92.8	93.5	93.7	95.0
Other non-financial assets (long term)	1.89	-	-	0.03	0.02	-	-	0.03	0.03	0.03	0.03	0.02	0.02
Deferred tax assets	37.0	34.3	26.9	17.6	16.3	21.9	23.2	22.3	17.6	14.6	12.2	14.1	16.3
Total non-current assets	928.6	1,150.8	1,457.1	1,808.0	2,458.4	1,500.8	1,612.3	1,707.2	1,808.0	1,895.1	2,037.2	2,198.2	2,458.4
Inventories	182.3	212.1	276.5	368.3	445.4	290.7	306.9	294.5	368.3	351.5	376.4	376.5	445.4
Trade and other receivables	18.8	21.7	33.7	38.0	22.1	19.2	29.3	17.9	38.0	20.7	19.5	29.8	22.1
Income tax receivables	0.05	0.11	0.61	0.08	-	0.60	0.03	0.04	0.08	0.10	0.14	0.02	-
Other non-financial assets	13.5	20.7	22.4	34.4	76.5	32.4	36.9	27.9	34.4	44.4	45.9	57.7	76.5
Cash and cash equivalents	23.7	33.9	66.4	202.6	285.4	36.4	43.1	60.2	202.6	178.0	190.1	114.2	285.4
Total current assets	238.4	288.6	399.7	643.4	829.3	379.3	416.1	400.6	643.4	594.7	632.1	578.2	829.3
Total assets	1,167.0	1,439.4	1,856.8	2,451.3	3,287.7	1,880.1	2,028.4	2,107.9	2,451.3	2,489.8	2,669.3	2,776.4	3,287.7
Equity and liabilities													
Equity	410.1	532.2	683.5	904.5	1,211.9	714.0	768.1	831.7	904.5	960.4	1,030.9	1,113.2	1,211.9
Share capital	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8
Reserve capital	316.0	393.0	510.7	1,111.9	1,307.3	790.2	1,111.9	1,111.9	1,111.9	1,111.9	1,307.3	1,307.3	1,307.3
Retained earnings	84.2	129.4	163.0	(224.7)	(112.7)	(86.0)	(361.0)	(297.5)	(224.7)	(168.7)	(293.6)	(211.4)	(112.7)
Non-controlling interests	410.1	532.2	683.5	904.5	1,211.9	714.0	768.1	831.7	904.5	960.4	1,030.9	1,113.2	1,211.9
Total equity	798.9	1,024.2	1,337.2	1,697.6	2,347.0	1,386.4	1,497.0	1,593.2	1,697.6	1,787.7	1,931.4	2,090.4	2,347.0

Company financial statements (3/5)¹

Balance sheet

(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018
Interest-bearing loans, borrowings and finance lease liabilities	286.0	361.8	452.4	470.6	585.3	487.2	508.5	490.6	470.6	502.7	537.3	521.5	585.3
Liabilities by virtue of outstanding securities	-	-	-	99.7	99.8	-	-	-	99.7	99.8	99.8	99.8	99.8
Other liabilities	-	-	0.3	0.3	0.2	0.3	0.3	0.3	0.3	0.2	0.2	0.2	0.2
Provisions for employee benefits	0.5	0.8	1.1	1.2	1.6	1.1	1.1	1.1	1.2	1.2	1.2	1.2	1.6
Deferred tax liabilities	1.6	0.6	5.5	3.5	5.9	6.2	6.3	3.4	3.5	7.1	8.2	11.3	5.9
Accruals	0.1	0.1	0.1	0.5	0.3	0.1	0.1	0.1	0.5	0.5	0.4	0.4	0.3
Total long-term liabilities	288.1	363.2	459.4	575.9	693.2	494.8	516.3	495.5	575.9	611.6	647.1	634.5	693.2
Trade and other payables	337.6	429.2	574.4	811.3	1,141.9	531.9	585.0	601.3	811.3	727.0	804.8	832.4	1,141.9
Current portion of interest-bearing loans and finance lease liabilities	118.2	101.5	110.2	117.1	148.7	112.5	124.9	147.4	117.1	145.3	134.9	134.8	148.7
Liabilities by virtue of outstanding securities	-	-	-	0.7	0.7	-	-	-	0.7	0.6	0.6	0.6	0.7
Income tax liabilities	4.6	3.4	10.3	20.7	67.00	4.2	15.5	14.4	20.7	20.2	21.5	33.1	67.0
Accruals	8.3	9.8	13.2	20.8	23.8	14.8	18.3	17.4	20.8	24.3	29.0	27.3	23.8
Provisions for employee benefits	0.05	0.07	5.89	0.35	0.54	7.84	0.23	0.23	0.35	0.35	0.35	0.35	0.54
Total current liabilities	468.8	543.9	714.0	971.0	1,382.6	671.3	744.0	780.7	971.0	917.7	991.2	1,028.6	1,382.6
Total liabilities	756.9	907.1	1,173.4	1,546.8	2,075.8	1,166.1	1,260.3	1,276.2	1,546.8	1,529.3	1,638.4	1,663.1	2,075.8
Total equity and liabilities	1,167.0	1,439.4	1,856.8	2,451.3	3,287.7	1,880.1	2,028.4	2,107.9	2,451.3	2,489.8	2,669.3	2,776.4	3,287.7

Source: Company financial statements
 (1) Quarterly data unaudited

Company financial statements (4/5) ¹

Cash flow

(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018
Cash flows from operating activities													
Profit before tax	79.3	135.2	186.5	266.0	384.0	38.0	58.7	77.0	92.3	69.3	87.2	101.5	126.0
Adjustments for	109.2	110.2	137.9	231.2	250.5	(7.0)	35.6	59.7	142.9	(25.8)	73.7	49.4	153.2
Depreciation and amortization	41.9	50.2	65.2	85.9	112.1	19.2	20.4	22.5	23.8	25.1	26.9	28.4	31.6
Gain/(loss) from investing activities	0.4	0.2	1.6	1.3	1.4	0.0	0.2	0.2	0.94	0.3	0.3	0.6	0.3
Change in the balance of receivables	59.0	(10.8)	(15.6)	(16.8)	(25.7)	13.7	(17.3)	18.4	(31.5)	16.7	(1.4)	(23.3)	(17.6)
Change in the balance of inventories	25.5	(29.9)	(64.4)	(91.7)	(77.1)	(14.2)	(16.2)	12.4	(73.7)	16.8	(24.9)	(0.1)	(68.9)
Change in the balance of payables except loans and borrowings	(45.5)	84.2	127.2	239.7	219.0	(23.7)	37.6	13.1	212.7	(80.7)	68.5	38.6	192.6
Interest income	(0.2)	(0.1)	(0.4)	(0.5)	(0.3)	(0.0)	(0.02)	(0.0)	(0.4)	(0.1)	(0.1)	(0.2)	(0.0)
Interest expenses	26.5	25.0	29.7	38.1	45.4	8.5	9.5	9.4	10.7	10.1	10.5	11.6	13.2
Change in the balance of accruals	3.0	3.9	4.9	7.3	1.9	(4.5)	2.8	0.4	8.6	(6.5)	5.8	0.0	2.6
Change in the balance of provisions	0.2	0.1	6.2	(5.4)	0.5	1.9	(7.6)	-	0.2	-	-	-	0.5
Income tax paid	(1.6)	(12.6)	(16.5)	(34.1)	(26.4)	(7.9)	(1.3)	(16.7)	(8.3)	(7.3)	(11.9)	(6.3)	(0.8)
Other	(0.02)	(0.01)	0.04	7.4	(0.22)	0.0	7.5	-	(0.11)	-	-	-	(0.2)
Net CF from operating activities	188.5	245.4	324.3	497.2	634.5	31.0	94.2	136.8	235.2	43.5	160.8	150.9	279.2

Company financial statements (5/5)¹

Cash flow													
(PLNm)	2014	2015	2016	2017	2018	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018	3Q 2018	4Q 2018
Cash flows from investing activities													
Proceeds from sale of property, plant and equipment and intangibles	0.4	0.9	1.1	8.0	1.6	0.1	1.1	6.4	0.4	0.7	0.2	(0.3)	1.0
Purchase of property, plant and equipment and intangibles	(170.7)	(243.5)	(311.7)	(410.6)	(635.9)	(83.0)	(89.3)	(113.3)	(125.0)	(119.0)	(160.5)	(194.4)	(162.0)
Sell of other financial assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest received	0.2	0.1	0.4	0.5	0.3	0.0	0.0	0.0	0.4	0.1	0.1	0.2	0.0
Net CF from investing activities	(170.2)	(242.5)	(310.2)	(402.1)	(634.0)	(82.9)	(88.2)	(106.8)	(124.2)	(118.3)	(160.2)	(194.6)	(161.0)
Cash flows from financing activities													
Payment of financial lease liabilities	(24.5)	(30.0)	(43.9)	(51.9)	(46.4)	(9.8)	(14.8)	(12.4)	(15.0)	(11.2)	(10.9)	(11.1)	(13.2)
Proceeds from loans and borrowings	111.7	141.8	219.1	117.3	373.9	57.5	41.4	24.1	(5.6)	89.7	124.2	12.1	148.0
Repayment of loans and borrowings	(72.8)	(79.5)	(127.1)	(86.8)	(199.8)	(17.4)	(16.5)	(15.0)	(37.9)	(18.2)	(91.3)	(21.5)	(68.8)
Issue of debt securities	-	-	-	100.0	-	-	-	-	100.0	-	-	-	-
Interest paid	(26.5)	(25.0)	(29.7)	(37.4)	(45.4)	(8.5)	(9.5)	(9.4)	(10.0)	(10.1)	(10.5)	(11.6)	(13.2)
Net CF from financing activities	(12.1)	7.3	18.4	41.1	82.3	21.8	0.6	(12.8)	31.5	50.2	11.4	(32.2)	52.9
Net increase/(decrease) in cash and cash equivalents	6.2	10.2	32.5	136.2	82.7	(30.0)	6.6	17.2	142.4	(24.6)	12.1	(75.9)	171.1
Cash and cash equivalents at the beginning of the period	17.5	23.7	33.9	66.4	202.6	66.4	36.4	43.1	60.2	202.6	178.0	190.1	114.2
Cash and cash equivalents at the end of the period	23.7	33.9	66.4	202.6	285.4	36.4	43.1	60.2	202.6	178.0	190.1	114.2	285.4

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